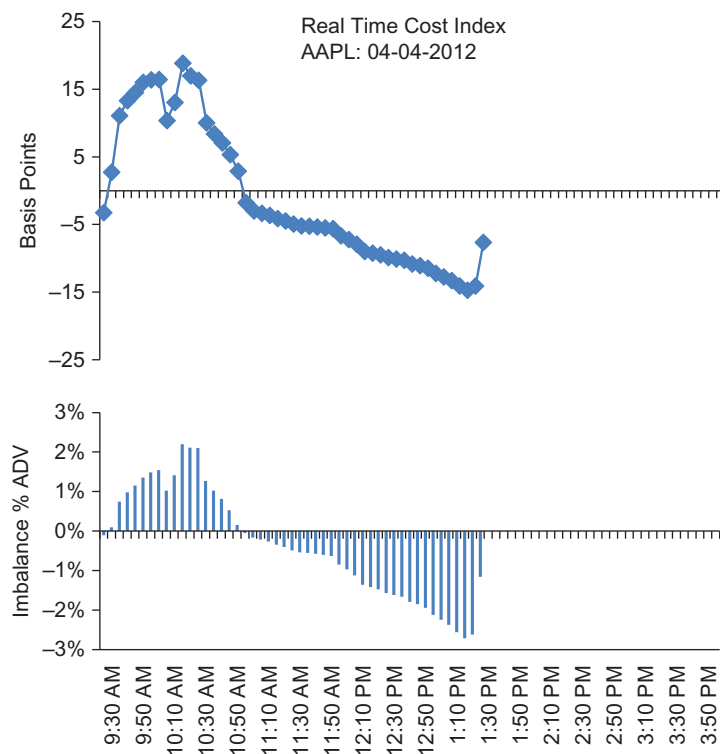


Another example for the usefulness of the real-time cost index is its application to critique the VWAP price. For example, suppose the fund achieved the VWAP price over the trading period but the VWAP price was 50 bp higher than the arrival price. The cost index will tell us if the 50 bp cost was the appropriate cost given market conditions and aggregated buying and selling pressure, or if the broker achieved the VWAP price by trading aggressively and pushing the price up.

Portfolio managers, on the other hand, can use real-time cost indexes to evaluate buying and selling opportunities. By analyzing pressure in the stock and market conditions, managers can determine whether the price is too higher or too low and whether a short-term reversal is likely to occur. These are just some of the high frequency strategies being tested by many managers.

Figure 12.3 illustrates the real-time cost index for AAPL on April 4, 2012 as of 1:30 p.m. The top graph shows the real-time trading cost



■ **Figure 12.3** Real Time Cost Index. Source: NYSE Taq Data, I-Star Impact Model, Yahoo Finance, Google Finance.